

Table 71.2 General Statistics

Description	Bull Market	Bear Market
Number found	2,416	1,599
Reversal (R), continuation (C) occurrence	55% R, 45% C	35% R, 65% C
Reversal, continuation performance	−14% R, −16% C	−20% R, −25% C
Average decline	−15%	−24%
Standard & Poor's 500 change	−2%	−7%
Days to ultimate low	21	19
How many change trend?	29%	52%

Reversal (R), continuation (C) occurrence. I checked the short-term inbound price trend to see if the pattern acted as a reversal or continuation pattern. Why bother? Because I've seen reversals outperform continuations in some patterns.

Wouldn't it be nice to get a trading edge by just looking at a pattern (that is, comparing the direction of the inbound price trend with the anticipated (or real) breakout direction)?

In bull markets, slightly more patterns acted as reversals than continuations. That behavior flips for bear markets. In bear markets, almost two out of three patterns act as continuations.

Reversal/continuation performance. For V-tops, continuations perform better than reversals. So if you want an easy way to improve your trading results, trade with the trend.

Because we know price breaks out downward from a V-top, the inbound trend should also be downward leading to the start of the V-top.

[Figure 71.1](#) shows an example of the V-top appearing in a prevailing downward price trend (yes, I know I made a big deal of price rising into the V-top, but let's not confuse the issue with facts).

Average decline. The star performer is the drop in bear markets, which averages 24%. Trade continuation patterns and you can boost that up to